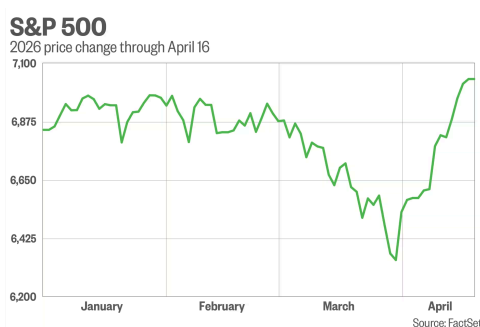
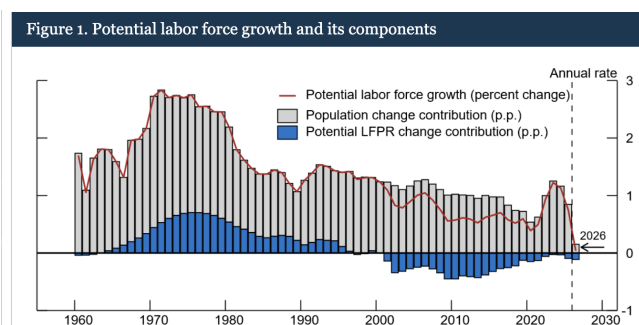


I was recently asked what caused stocks to move, and while I responded as best I could, I still wasn't sure my statements were accurate. I began to wonder the same thing, especially because recent movements in the stock market do not line up with global headlines. With the recent crisis in Iran, we have seen massive waves of uncertainty around energy prices, which have caused stocks to plummet as input prices rise and corporate profits fall. However, in the past couple of weeks, the stock market has rallied, as detailed in the graph below, defying logic since macroeconomic data—like labor market growth—shows negative outlooks on the future of the US's economy.



S&P Rally in April

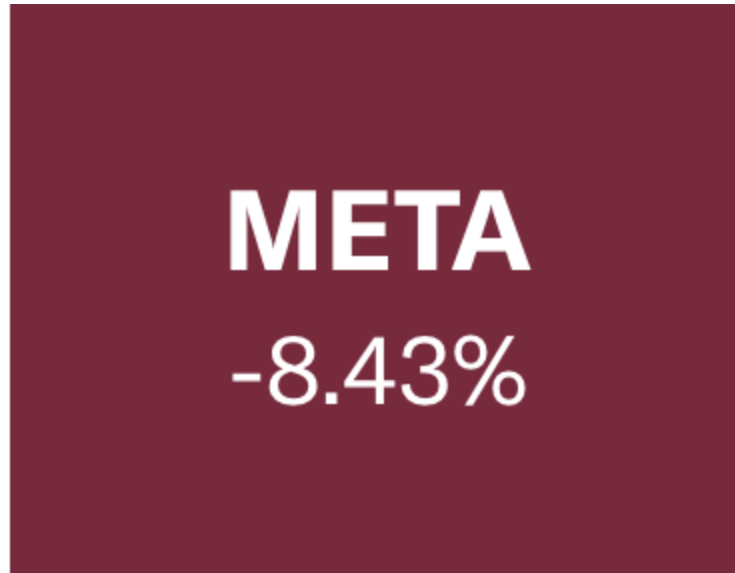


Labor Force growth slowing in 2026

I was also curious why some stocks actually moved against their narratives in the news. For example, Meta's stock slid (Wall Street speak for "fell in price") even though they recently beat their projected earnings report.

First Quarter 2026 Financial Highlights					
Net income	\$	26,773	\$	16,644	61 %
Diluted earnings per share (EPS)(1)	\$	10.44	\$	6.43	62 %

Meta Earnings Report



Heatmap shows Meta stock sliding at market open, taken 4/30

Many suggest this slide is due to higher-than-expected AI capital expenditures (“capex”), which actually strengthens the narrative that its share price was “priced in,” and contrasts with academic arguments around the implications of liquidity, both of which we will cover in the following paragraphs.

These puzzling interactions led me to a central question: Why doesn’t the stock market reflect macroeconomic trends or current firm and industry performance?

The reason stems from a fundamental disconnect between what happens in the short run and within the stock market and what happens in the long run and in the macroeconomic climate. This is because the stock market versus the real world is like expectation versus reality. The only reason the stock market moves at all is that someone is willing to buy ownership in a company because they expect the stake to increase in value. Anything that happens in real life changes the expected value of the stake purchased, causing people to buy and sell. Investor confidence is one of the biggest drivers of stock market swings, meaning it can push stock valuations higher if

investors believe enough in the future, even while current trends might give the opposite impression.

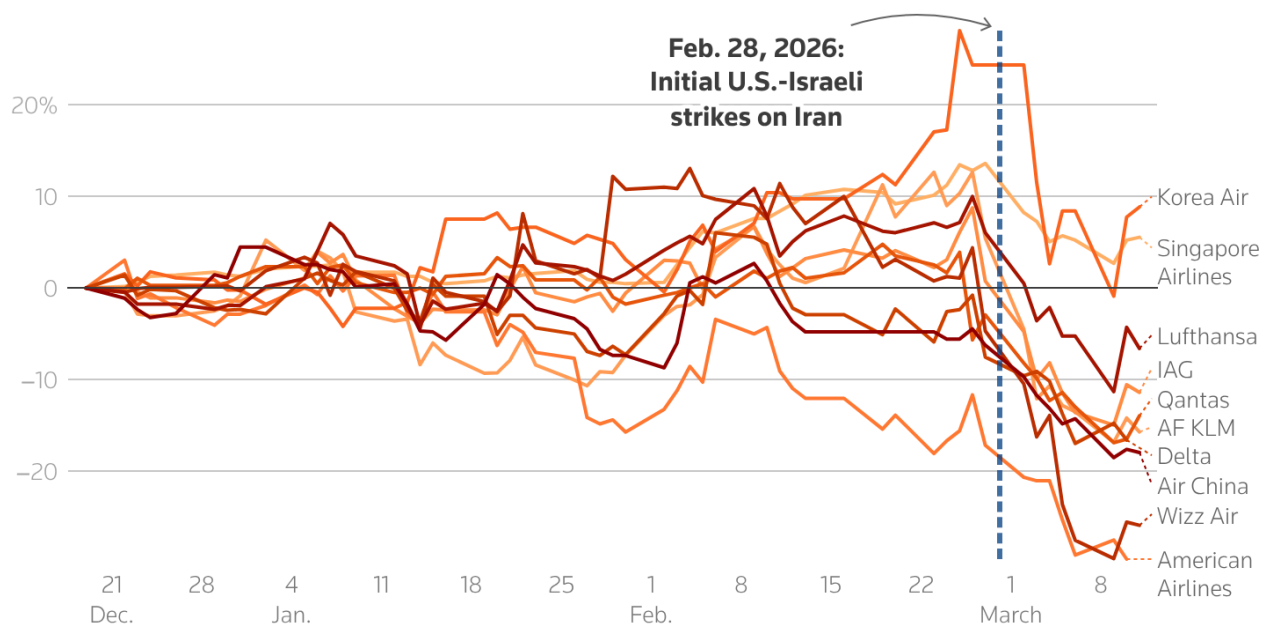
What happens day-to-day in the market is usually already anticipated by professional traders. Professional traders, usually part of large institutions (“institutional traders”), have already “priced in” factors such as earnings reports. These traders have already predicted which companies will have earned money and have already bought and sold the relevant shares, thus changing the share price and making it “priced in.” When a company like NVIDIA announces that it has beaten reports, regular (“retail”) traders might start buying shares, but professional traders have already bought shares because they expected NVIDIA to beat earnings; the information was already known, and they sell their shares to profit from retail buying. Since the official report released by NVIDIA does not bring any new information, there is no further reason for those traders to buy NVIDIA stock, meaning their demand falls. At that moment, the quantity supplied by professional traders selling their shares for profit exceeds the quantity demanded by retail traders buying in on the earnings news, coupled with decreased demand from other pro traders for NVIDIA stock because there was no new information, all putting downward pressure on the share price. This is why, even when companies announce positive reports, the share price can fall. However, earnings reports are information updates for all investors. Meta’s case exposes an important caveat to our earnings report phenomenon: investors expected Meta to beat earnings forecasts, but their capex increase was news to investors, causing investors to sell shares and tank the price. Similarly, if pro traders expected companies to barely beat earnings, but instead they greatly surpass forecasts, traders now update their outlook on the company, and might buy shares instead of selling them. This forward-looking component is further highlighted when companies release poor earnings reports. If Google misses their forecast, retail traders

might sell their shares, lowering the share price. However, if professional traders forecast higher earnings over the next couple of months, they might buy Google's shares, causing the price to rise rather than fall.

The stock market also does not move in tandem with global headlines because it is not uniformly weighted. The 10 largest US companies make up about 40% of ETFs like the S&P500 and more than 50% of the NASDAQ, and they happen to be mostly tech companies. Tech companies aren't as easily hurt by rising oil prices, meaning their stocks don't, or shouldn't, move as much as stocks of companies more reliant on oil, like United or Delta. After Iran, the US Global Jets ETF fell 30%, while the NASDAQ, a tech-heavy index, rallied by 18% after the initial slump we described earlier. Combining these two pieces of information, it is easier to understand why sometimes the movement in the market does not align with real life.

Airline Stocks Slide

Global airline stocks have slid sharply since U.S.-Israeli strikes on Iran sparked a wider regional conflict and pushed up global energy prices sharply.



Global airline stocks like Delta and American Airlines fall upwards of 10%

While the index composition helps explain why the Iranian oil crisis didn't drag down the whole market, it doesn't fully explain why the market has been rebounding. The current AI narrative explains this rebound. For the past few years, AI has been the most talked-about and invested-in industry. Just because there is some uncertainty in Iran, doesn't mean that AI progress has ground to a halt. People were a little afraid in the first bit of conflict and sold off stocks, but once they regained their senses, they remembered to invest in tech stocks, driving stock prices back up. This shift in investor mood, where people sell when there is fear and buy when there is optimism, is what we will define as "investor sentiment," a concept that finance professionals and professors like Malcolm Baker and Jeffrey Wurgler also acknowledge.

While this "investor sentiment" can make stocks rally in the short run, in the long run, this can actually lead to losses. Higher stock prices based solely on investor sentiment mean their future upside potential has been limited. This is because when people who believe in the future of a stock buy the stock, the price inflates. The ceiling for stock growth now looms closer, since the price has already increased, not based on company growth but rather thanks to investor sentiment. This is why "hype" stocks actually fall; investor sentiment does not reflect the stock's true value. Baker and Wurgler find that during high-sentiment periods, extreme growth stocks, which nowadays are AI and tech stocks, "tend to earn relatively low subsequent returns." As Baker and Stein argue, cited by Baker and Wurgler, liquidity can serve as a direct measure of today's retail investor optimism. More liquidity means more optimism, which leads to more retail investors buying shares and overvaluing the stocks, leading to losses in the long run. However, liquidity goes both ways. Baker and Stein argue that liquidity correlates with optimism, but it also correlates with panic.



Meta stock slides at market open on 4/30

Referring back to our Meta example, we see the share volume (the number of shares traded) spike to 4.5 million as soon as the market opened on Thursday, April 30th. This spike happened because Meta's earnings announcement occurred after the market closed on Wednesday, April 29th. As we noted earlier, investors were worried about Meta's AI capex, and in their panic, they sold off millions of shares. Thus, liquidity proxies investor sentiment in both confidence and fear, explaining price swings.

Now that we have covered why stocks have been rebounding in the face of global headwinds, we must address the juxtaposition between unsettling domestic macroeconomic data and a rebounding market. Inflation has always been a highly scrutinized topic, and the investing world shows no difference. Most, if not all, companies decide whether to spend large sums of money based on the interest rate, which in turn is based on inflation. When inflation is high, the Federal Reserve increases interest rates, precluding companies from spending. More specifically,

the borrowing associated with spending is now more expensive thanks to the increased interest rates. The crisis in Iran started at the end of February, and the March reports from the Bureau of Labor Statistics on CPI and PPI (consumer price index and producer price index, respectively) indicated higher-than-expected inflation. CPI and PPI index the prices that all consumers and producers must pay for their goods, and if they both show increases, then consumers and producers are paying more for their goods: inflation. The month-by-month CPI increased by 0.9% between February and March, 0.6% more than between January and February. As for PPI, its increase “can be attributed to a 1.6-percent advance in the index for final demand goods.” An increase in both CPI and PPI is concrete evidence of inflation. It comes as no surprise, then, that in their meetings in March and April, the Federal Reserve voted to keep interest rates at 3.5-3.75%, fairly high. Even though not many people expected a rate hike, a maintenance of high rates constitutes a worse outcome than a rate cut. This lack of a rate cut caused people to update their expectations downward. With rates remaining high, borrowing becomes more expensive, constraining company spending and limiting future growth potential, which makes their shares less attractive to investors. Despite this headwind, the market continued to rally, driven by a multitude of forces like the AI narrative.

On top of domestic macro factors, the US economy finds itself more insulated from the conflict in Iran than European economies. When there is economic instability in the Middle East and Europe, there doesn't have to be economic instability in the US. Since, according to the saying from Macroeconomics, “savings always flow to places where they get the best, risk-adjusted, rate of return,” then, during times of crises where risk levels in Europe rise, savings flow out of Europe and into the US. People buy Federal Bonds and, more importantly,

US stocks, driving up stock prices in the US. This capital flow phenomenon explains why, even when global headlines look bad, the US stock market can still be up.

Lastly, some companies make it their life mission to put in and get out constant returns from the stock market. These are called pension funds or retirement funds, and they invest in things on a repeated basis. Whether or not the market is up is none of their concern; they must deploy their capital (ie, they must invest). Funds can only sit on cash for so long; they need to purchase equities every so often to earn in the long run and meet liabilities. This stock demand from funds means the market always has an artificial boost, explaining why, in hard times, stock prices can rise. Even in the 1960s, this was a documented occurrence that Vito Natrella, a member of the SEC and ASA (Securities and Exchange Commission; American Statistical Association), explained in detail at meetings: pension fund inflows are contractual and create a “continuing demand” for stocks, regardless of market conditions.

In the case of the recent rally, it cannot be explained by one force but by a combination of the AI narrative momentum, pension fund inflows, a tech-heavy index composition, and capital inflow from European nations, all moving the stock market opposite to global and domestic headlines. We have established a concrete disconnect between real life and the stock market, and explained how the disconnect stems from the stock market’s forward-looking nature. Thus, when investing, we must take note of these discrepancies and exercise caution. While I cannot provide financial advice, I can give examples where retail investors invest based on news and end up seeing stocks slide. The stock market does not measure current economic reality, and understanding how it takes price expectations, flows of capital, and narratives into account is vital for informed investing. Whenever we see global headlines or company earnings reports, we

now have tools to critically analyze how, if at all, they will affect the stock market and can determine whether we should change our investment strategy.

Bibliography

Artificial Intelligence Index Report 2025. April 7, 2025. Accessed May 3, 2026.
<https://doi.org/10.48550/ARXIV.2504.07139>.

Baker, Malcolm, and Jeffrey Wurgler. "Investor Sentiment and the Cross-Section of Stock Returns." *The Journal of Finance* 61, no. 4 (2006): 1645-80.
<https://doi.org/10.1111/j.1540-6261.2006.00885.x>.

Baker and Stein (2004) suggest that turnover, or more generally liquidity, can serve as a sentiment index: In a market with short-sales constraints, irrational investors participate, and thus add liquidity, only when they are optimistic; hence, high liquidity is a symptom of overvaluation.

When sentiment is estimated to be high, stocks that are attractive to optimists and speculators and at the same time unattractive to arbitrageurs—younger stocks, small stocks, unprofitable stocks, non-dividend-paying stocks, high volatility stocks, extreme growth stocks, and distressed stocks—tend to earn relatively low subsequent returns.

Baker, Malcolm, and Jeffrey Wurgler. "Investor Sentiment in the Stock Market." *Journal of Economic Perspectives* 21, no. 2 (2007): 129-51. <https://doi.org/10.1257/jep.21.2.129>.

Barber, Brad M., Terrance Odean, and Ning Zhu. "Systematic Noise." *Journal of Financial Markets* 12, no. 4 (2009): 547-69. <https://doi.org/10.1016/j.finmar.2009.03.003>.

Christensen, Kim, and Bezirgen Veliyev. "Earnings News Cause Immediate Stock Price Jumps, Sometimes Moving Whole Market." *Rady News*, March 18, 2025. Accessed May 3, 2026.
<https://rady.ucsd.edu/why/news/2025/03-18-earnings-news-cause-immediate-stock-price-jumps-sometimes-moving-whole-market.html>.

The biggest traders in these markets with access to the latest technology get first in line with executing their trades and by the time humans can react to news, it's too late,

Cooper, Ian. "Airline Stocks Have Been Hard Hit by Iran War, but Citi Is Betting Big on These 2 Names." *Yahoo Finance*, March 17, 2026. Accessed May 3, 2026.
<https://finance.yahoo.com/news/airline-stocks-hard-hit-iran-153656276.html>.

Department of Labor Bureau of Labor Statistics. *CONSUMER PRICE INDEX – MARCH 2026*. By Bureau of Labor Statistics. 2026. <https://www.bls.gov/news.release/pdf/cpi.pdf>.

Department of Labor Bureau of Labor Statistics. *PRODUCER PRICE INDEXES – MARCH 2026*. By Bureau of Labor Statistics. 2026. <https://www.bls.gov/news.release/pdf/ppi.pdf>.

Doorn, Phillip Van. "S&P 500: 2026 Price Change through April 16." Chart. MarketWatch, April 17, 2026. Accessed May 3, 2026.
<https://www.marketwatch.com/story/whats-next-for-investors-after-the-stock-markets-rebound-bd5cce2d>.

- J.P. Morgan Global Research. "What's the Fed's next move?" J.P. Morgan. Last modified April 17, 2026. Accessed May 3, 2026.
<https://www.jpmorgan.com/insights/global-research/economy/fed-rate-cuts>.
- Meta. "First Quarter 2026 Financial Highlights." Infographic. April 29, 2026. PDF.
- Meta. "Meta Reports First Quarter 2026 Results." *Meta Press Release*, April 29, 2026. Accessed May 3, 2026.
<https://investor.atmeta.com/investor-news/press-release-details/2026/Meta-Reports-First-Quarter-2026-Results/default.aspx>.
- "Meta 'Advanced Chart': Interactive Stock Chart." Chart. Yahoo Finance, April 30, 2026. Accessed May 3, 2026. <https://finance.yahoo.com/quote/META/>.
- Murray, Seth, and Ivan Vidangos. "Potential Labor Force Growth and Its Components." Chart. April 2, 2026.
<https://www.federalreserve.gov/econres/notes/feds-notes/labor-force-growth-breakeven-employment-and-potential-gdp-growth-20260402.html>.
- Natrella, Vito. "PENSION FUNDS AND THE SECURITIES MARKETS." Speech, 122nd Annual Meeting, American Statistical Association, Minneapolis, MN, September 8, 1962.
- Okoth, Lockridge. "Meta Stock Loses \$175 Billion After AI Expense Estimate Shakes Shareholders." *Yahoo Finance*, April 30, 2026. Accessed May 3, 2026.
<https://finance.yahoo.com/markets/stocks/articles/meta-stock-loses-175-billion-161107768.html>.
- Rennie, Aaron. *Markets News, April 30, 2026: S&P 500, Nasdaq Hit New Highs, Post Biggest Monthly Gains Since 2020; Dow Jumps 800 Points*. April 30, 2026. Accessed May 3, 2026.
<https://www.investopedia.com/stock-market-today-dow-jones-s-and-p-500-04302026-11961883#:~:text=Four%20trillion%2Ddollar%20tech%20giants,it%20reports%20in%20mid%2DMay>.
 The Nasdaq, S&P 500, and Dow Jones Industrial Average closed with strong April gains. The Nasdaq rose more than 15% for the month, while the S&P 500 was up more than 10% and the Dow added more than 7%. The indexes logged their largest monthly percentage gains since April 2020, November 2020, and November 2024, respectively.
 Four trillion-dollar tech giants—Alphabet (GOOG, GOOGL), Amazon (AMZN), Meta Platforms (META), and Microsoft (MSFT)—reported earnings after Thursday's close, giving investors plenty to think about today. Shares of Google parent Alphabet surged 10%, while those of Meta and Microsoft declined a respective 8.7% and 3.9%.
- Scheider, Bob. "PPI vs. CPI: Understanding Their Differences and Relationships." Edited by Robert C. Kelly. Investopedia. Last modified March 3, 2026. Accessed May 3, 2026.
<https://www.investopedia.com/ask/answers/08/ppi-vs-cpi.asp#:~:text=How%20Is%20CPI%20Basket%20Determined,picture%20of%20economic%20price%20changes>.

Slickcharts. "Nasdaq 100 Companies." Slickcharts. Accessed May 3, 2026.
<https://www.slickcharts.com/nasdaq100>.

Slickcharts. "S&P 500 Companies by Market Cap." Slickcharts. Accessed May 3, 2026.
<https://www.slickcharts.com/sp500>.

Towfighi, John. "Stocks are at record highs and shrugging off the war with Iran." *CNN Business*, April 23, 2026. Accessed May 3, 2026.
<https://www.cnn.com/2026/04/23/investing/stocks-record-high-iran-war>.

Udland, Myles. "Fed leaves rates unchanged, 4 FOMC members vote against decision, in Powell's final meeting." *Yahoo Finance*, April 29, 2026. Accessed May 3, 2026.
<https://finance.yahoo.com/economy/policy/live/fed-meeting-live-updates-federal-reserve-holds-interest-rates-steady-in-powells-final-meeting-as-chair-111906007.html>.

"US Market Takes Upper Hand Amid Iran War as International Stock Rally Reverses." *Morningstar*, March 19, 2026. Accessed May 3, 2026.
<https://www.morningstar.com/markets/us-market-takes-upper-hand-amid-iran-war-international-stock-rally-reverses>.

Weir, Deb. "Investor Confidence Measurement: 3 Effective Tools." New York Institute of Finance. Accessed May 3, 2026.
<https://www.nyif.com/articles/investor-confidence-measurement-3-effective-tools#:~:text=Investor%20confidence%20is%20a%20key%20driver%20of,precedes%20a%20turn%20in%20the%20stock%20market>.

"What's the relationship between the stock market and the economy?" Global Asset Management. Accessed May 3, 2026.
<https://www.rbcgam.com/en/ca/learn-plan/investment-basics/whats-the-relationship-between-the-stock-market-and-the-economy/detail>.

Zhu, Julie, and Christoph Steitz. "Airline Stocks Slide." Chart. Reuters, March 8, 2026. Accessed May 3, 2026.
<https://www.reuters.com/business/energy/airline-shares-battered-oil-prices-spike-iran-war-intensifies-2026-03-09/>.